

complaint

Ms L-H and Ms L complain that St Andrew's Insurance Plc mis-sold them property insurance on their late mother's home, which it cancelled. They want compensation for the loss of premium paid and for the aggravation and time spent identifying an alternative insurer.

background

Ms L-H and Ms H's mother died in June 2016 and they paid an additional premium to St Andrew's to cover the unoccupied house to the end of the term in November 2016. They then renewed the policy for 12 months, but it was cancelled by St Andrew's in June 2017 as it wouldn't insure an unoccupied property beyond 12 months.

Ms L-H and Ms H said there was no warning that St Andrew's wouldn't cover the property beyond 12 months and had they known they would've found a more appropriate and cost effective policy. St Andrew's said it told Ms L-H in July 2016 that the property could only be covered for 12 months from the date of un-occupancy, and she had accepted this.

St Andrew's wrote to Ms L-H following cancellation and refunded some of the premium paid.

The investigator didn't recommend the complaint be upheld saying St Andrew's told Ms L-H about the 12 month limit. He said in a call on 4 July 2016, St Andrew's told Ms L-H *"we can keep the property showing on cover up to 12 months from the date it is shown as unoccupied"*, and she replied *"ok"*. He said Ms L-H confirmed the policy would run from *"1 June to the last day of May 2017"*. And later in the conversation the adviser stated *"the policy will continue as we discussed earlier up to the last day of May"*, and Ms L-H said *"Yes"*.

Ms L-H and Ms H disagreed with the investigator saying the conversation he reported lacked context and he was wrong to suggest Ms L-H was made aware of the 12 month limit. Ms L-H said in any event this would mean the policy was backdated to June 2016 and St Andrew's sent no documents to confirm the 12 month period. Ms L-H said St Andrew's adviser said the policy will renew in November for the "full year" and there was no mention in the call that St Andrew's don't insure empty properties beyond 12 months.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

I have looked closely at Ms L-H and Ms H's policy and St Andrew's handling of their cover, to see whether or not it has treated them fairly. I can see that it came as an unpleasant surprise to Ms L-H and Ms H that their property insurance had been cancelled and I sympathise with them for the difficulty this caused.

Ms L-H said St Andrew's made no mention of the 12 month limit in their conversation on 4 July 2016. I have listened to the call and note that the purpose was to amend the existing insurance to cover un-occupancy during the remainder of the contracted term. However, I disagree with Ms L-H, St Andrew's made it clear that it would only offer insurance cover for 12 months from the date the property became unoccupied. Ms L-H replied *"Ok that's fine"*. Later in the call Ms L-H confirmed again her understanding that the policy would run until the last day of May 2017.

Given that St Andrew's, in common with other insurers, offers 12 month contracts of insurance, I think it would've been preferable at renewal in November 2016 for it to re-state the period when the policy would expire if Ms L-H and Ms H still held the property. However, I think the previous discussion with Ms L-H ought to have made her aware that the 12 month limitation would apply.

Ms L-H said that she discussed with St Andrew's the option of having a shorter policy term, and they said this wasn't possible. I heard Ms L-H asking what would happen if the policy didn't run the full 12 months, and St Andrew's adviser said they would get a refund of any remaining premium.

From what I've heard I'm satisfied that St Andrew's made it clear they would only offer insurance cover for an unoccupied property for a maximum of 12 months. I'm also satisfied from Ms L-H's responses that she understood the restriction. Ms L-H mentioned other calls but we don't have the date or content of these and I don't think they would alter the clear message about the policy she received on 4 July 2016.

Ms L-H correctly states that the 12 month policy limit applied by St Andrew's was backdated a month to June 2016. I can see this happened in July 2016 when Ms L-H first notified St Andrew's of the un-occupancy. It seems reasonable for St Andrew's to backdate the period in these circumstances. I don't think St Andrew's has mis-sold the policy to Ms L-H and Ms H and I don't require it to do anything about the complaint.

my final decision

For the reasons I have given it is my final decision that the complaint is not upheld.

Under the rules of the Financial Ombudsman Service, I'm required to ask Ms L-H and Ms H to accept or reject my decision before 27 November 2017.

Andrew Fraser
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